

Research Report: Dauch Corporation's Investments in AI, Data, Software, and Digital Capabilities

SECTION 1 — Quantitative Investment Baseline

To comprehensively understand the digital and artificial intelligence trajectory of Dauch Corporation (formerly American Axle & Manufacturing Holdings, Inc.), it is first necessary to establish a rigorous quantitative baseline of its financial commitments. The company is currently navigating a highly complex, capital-intensive transition. As a Tier 1 global automotive supplier, it must simultaneously optimize its legacy internal combustion engine (ICE) business while aggressively funding research, development, and digital infrastructure to support the transition to electric vehicle (EV) and hybrid drivetrains. The financial footprint of the organization reveals a deliberate, orchestrated investment strategy focused on engineering digitization, cloud infrastructure modernization, and manufacturing operational efficiency.

Uploaded-Document Evidence

The uploaded 2025 Annual Report provides an exhaustive financial picture of the company immediately prior to and following a transformational period.¹ In January 2026, the company officially changed its name to Dauch Corporation, and on February 3, 2026, it successfully completed the acquisition of Dowlais Group plc, which encompasses GKN Automotive and GKN Powder Metallurgy.¹ This acquisition involved a total purchase price of approximately \$1.7 billion, funded partially by \$780 million in cash and the issuance of approximately 117 million new shares of common stock.¹ This merger radically expanded the company's operational footprint, resulting in an organization that now spans 24 countries with more than 175 global locations.¹

From a baseline revenue and profitability perspective, the company concluded the 2025 fiscal year with \$5,836.7 million in net sales, generating \$743.2 million in Segment Adjusted EBITDA and \$411.6 million in net cash provided by operating activities.¹ The investments required to fund software, cloud architecture, and artificial intelligence capabilities are deeply embedded within the company's capital expenditures (capex), research and development (R&D) outlays, and restructuring and integration costs.

Capital expenditures demonstrate a sustained, heavy investment in physical and digital infrastructure. In 2025, the company recorded \$256.5 million in capital expenditures, representing an increase from \$248.0 million in 2024 and \$194.6 million in 2023.¹ Looking forward to the 2026 fiscal year, the company projects capital spending to account for 4.5% to 5.0% of its anticipated sales, indicating that infrastructure modernization remains a top

corporate priority.¹

The company's R&D expenses reflect the cost of advancing its powertrain-agnostic product portfolios, which must seamlessly support electric, hybrid, and traditional internal combustion vehicle technologies.¹ The company accounts for R&D by expensing it as incurred, while netting out any costs capitalized through contractual guarantees for reimbursement from original equipment manufacturer (OEM) customers.¹ In 2025, net R&D spending was reported at \$147.0 million (net of \$14.7 million in customer engineering, design, and development recoveries).¹ This represents a slight contraction from 2024, which saw \$159.0 million in net R&D spending (net of \$21.8 million in customer recoveries), and \$155.4 million in 2023 (net of \$37.0 million in recoveries).¹ This continuous funding mechanism underpins the company's Advanced Technology Development Center (ATDC) located in Detroit, Michigan, as well as the Rochester Hills Technical Center, which serve as the central hubs for technology benchmarking, prototype development, supplier collaboration, and digital simulation.¹

Software and digital infrastructure investments are also quantifiable through the company's intangible asset amortization schedules and integration expenses. The gross carrying amount for capitalized computer software at the end of 2025 was \$61.2 million, with accumulated amortization leaving a net carrying amount of \$5.5 million.¹ In 2024, the gross carrying amount for capitalized computer software was \$60.9 million, netting \$8.3 million after amortization.¹ Total amortization expense for all intangible assets was \$81.8 million in 2025, \$82.9 million in 2024, and \$85.6 million in 2023.¹

Furthermore, digital systems integration accounts for a highly significant portion of the company's acquisition-related outlays. In 2025, the company recorded \$113.4 million in total restructuring and acquisition-related costs, a steep rise from \$18.0 million in 2024 and \$25.2 million in 2023.¹ Of the 2025 total, \$61.6 million was specifically categorized as acquisition and integration charges.¹ The 2025 Annual Report explicitly notes that these integration expenses primarily reflect costs incurred for information technology infrastructure, ongoing operational activities, enterprise resource planning (ERP) systems, and related consulting fees necessary to unify acquired entities.¹ The staggering complexity of the Dowlais acquisition dictates that the company will continue to incur significant costs to implement changes to internal controls over financial reporting, critical IT systems, and cloud-based applications.¹ Accordingly, the company anticipates an additional \$100 million to \$125 million in integration costs throughout the 2026 fiscal year.¹

The company also actively funds cybersecurity and data governance infrastructure, recognizing the severe financial and operational risks posed by digital disruption. The company maintains an Information Security Management System (ISMS) governed by the Chief Information Officer (CIO) and Chief Information Security Officer (CISO).¹ This framework leverages standards including the National Institute of Standards and Technology (NIST) Cybersecurity Framework, the Center for Internet Security (CIS) Critical Security Controls, the Trusted Information Security Assessment Exchange (TISAX) standard, and the ISO 27001

standard.¹ The company's risk disclosures explicitly highlight the necessity of funding defenses against advanced artificial intelligence cyber attacks, phishing campaigns, and malware that could compromise corporate networks or the networks of third-party cloud service providers.¹

Public-Source Evidence

Public statements, financial analyst reports, and industry publications provide further context to the raw figures reported in the financial filings, shedding light on the specific operational priorities driving these expenditures. Industry intelligence indicates that Dauch Corporation directs over 3.5% of its annual sales specifically toward advanced propulsion research and development.² This sustained investment blend is designed to support in-house engineering capabilities while actively funding external partnerships aimed at digital quality assurance, electric vehicle lightweighting, and noise, vibration, and harshness (NVH) reduction.²

Public evidence also highlights significant historical capital allocations that built the foundation for the company's current Industry 4.0 operations. For example, the company has actively invested in data-driven manufacturing environments, mirroring broader industry trends where smart factories require tens of millions of dollars in upfront capital.³ While specific recent facility capex breakdowns are not isolated in public releases, the company's leadership has publicly stated that effectively digitizing entire operations is a key enabler for more efficient production and increased speed to market.⁴

Furthermore, public disclosures confirm that the company's R&D and engineering investments are heavily protected, maintaining an active intellectual property portfolio with over 1,500 active patents worldwide.² These patents safeguard the company's investments in torque management, system integration, and advanced manufacturing processes, ensuring that the digital and physical R&D capital generates long-term competitive moats.²

SECTION 2 — Capability-by-Capability Analysis

The digital transformation strategy at Dauch Corporation is highly federated, utilizing specific software ecosystems, vendor partnerships, and cloud infrastructures to solve distinct operational challenges. Rather than attempting to build a monolithic, proprietary internal artificial intelligence engine from scratch, the company acts as a sophisticated technology integrator. It procures and deploys advanced machine learning algorithms, cloud-native architectures, and third-party Software-as-a-Service (SaaS) platforms to optimize everything from fundamental product design to factory floor robotics and global supply chain logistics.

Capability 1: AI-Augmented Product Design and High-Performance Computing (HPC)

The automotive transition from internal combustion engines to electric drive units (EDUs) requires an unprecedented level of complex engineering. Electric vehicles present unique, multi-physics challenges regarding thermal management, electromagnetic interference, and fluid dynamics. To reduce the time required to bring a product to market and to minimize the

cost of physical prototyping, Dauch Corporation has fundamentally overhauled its engineering design workflows, moving heavily toward AI-augmented digital simulations.

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Internal hiring signals demonstrate a focused, albeit lean, investment in artificial intelligence and machine learning modeling talent. Within the "AI/ML modeling" category, which represents 80% of the company's core AI hiring signals, the company has sought individuals highly proficient in Python, C++, and statistical analysis to build and manage prediction systems.¹ The objective of these technical roles is to establish robust enterprise AI capabilities and MLOps/LLMOps platforms.¹ These infrastructure investments serve the corporate engineering roadmap, ensuring that advanced algorithms can be securely and ethically deployed to solve complex product design and testing challenges.¹

Public-Source Evidence

Public records reveal exactly how this AI-augmented engineering operates in practice, detailing a deep reliance on specialized external software platforms. Dauch Corporation has partnered with Neural Concept to integrate 3D deep learning and artificial intelligence into its computer-aided design (CAD) workflows.⁵ Neural Concept provides an intelligent engineering platform that acts as a highly advanced "engineering co-pilot".⁵ Instead of engineers manually altering CAD geometries and running traditional, days-long physics simulations to test the viability of a new electronic drive unit, the Neural Concept AI platform explores the design space autonomously.⁵ It suggests optimal geometries that meet stringent performance criteria for aerodynamics, thermal efficiency, and mechanical stress without requiring manual human iteration.⁵ This capability drastically reduces manual trial-and-error, cutting computational re-iteration costs and allowing the company to evaluate a vastly broader spectrum of design variations.⁵ For the successful deployment and integration of this technology, Dauch Corporation awarded Neural Concept the 2025 Innovation Excellence Award during its annual Supplier Day.⁵

To provide the massive computational power required for these advanced, multi-physics simulations, Dauch Corporation migrated its simulation workloads to the cloud via a partnership with Rescale.⁶ Historically, the company's Computer-Aided Engineering (CAE) department relied on a fixed, 64-core in-house server infrastructure.⁶ This created severe engineering bottlenecks when running high-fidelity, multi-phase physics simulations—such as modeling exactly how liquid oil flows and lubricates bearings and gears inside an axle at different vehicle inclinations and operating speeds.⁶ By adopting Rescale's cloud HPC platform, Dauch Corporation gained on-demand, virtually infinite scalability.⁶ The company uses CD-adapco's STAR-CCM+ computational fluid dynamics software via a "Power-on-Demand" licensing model on Rescale, which allows engineers to run multiple massive simulations in parallel, matching software license utilization directly to cloud compute consumption.⁶ This workflow transformation means that a simulation testing process that previously took weeks on localized hardware can now be completed in a matter of days, vastly accelerating the

engineering lifecycle.⁶

Furthermore, the company utilizes Ansys ConceptEV, a specialized software simulation platform designed specifically for electric vehicle powertrains.⁷ Ansys ConceptEV allows Dauch Corporation engineers to make highly informed trade-offs across mechanical, electromagnetic, and power electronics domains simultaneously.⁷ By optimizing not just for physical performance, but also for system cost and energy efficiency, this platform ensures that the company's complex 3-in-1 electric drive units—which combine the motor, gearbox, and silicon carbide (SiC) inverter into a single module—meet the strict bill-of-materials and spatial requirements demanded by global OEMs.²

Capability 2: Supply Chain Artificial Intelligence and Global Logistics Optimization

Managing a global supply chain spanning over 175 manufacturing and administrative locations requires granular visibility and real-time decision-making. Global supply chain disruptions, fluctuating carrier costs, and fragmented vendor data have historically forced automotive suppliers into reactive supply chain management postures. Dauch Corporation has invested heavily in digital solutions to transition its supply chain from a reactive cost center to a predictive, highly agile operation.

Uploaded-Document Evidence

The uploaded investment signal report explicitly cites "Supply Chain" as a primary target domain for the application of enterprise AI governance and MLOps capabilities.¹ The company's strategic goal in this area is to deliver scalable, secure, and ethical AI solutions that enhance overall business processes and mitigate logistical risks.¹

Public-Source Evidence

Public sources provide highly concrete evidence of this supply chain transformation. Dauch Corporation has deployed the DAKSA AI platform, provided by the Supply Chain as a Service (SCaaS) vendor aThingz, to completely overhaul its global logistics execution.⁸ Tier 1 automotive logistics suffer chronically from siloed data generated by hundreds of disparate material suppliers, freight forwarders, and internal ERP systems. To solve this critical bottleneck, the DAKSA platform utilizes autonomous master data management.⁸ The AI algorithms continuously ingest, cleanse, harmonize, fortify, and standardize these disparate data streams into a single, unified "golden master data set".⁸

Once the logistics data is harmonized, Dauch Corporation uses the platform for "forward logistics planning".⁸ Rather than merely tracking where a shipment currently resides in the network, the AI generates feasible, mathematically optimized n -week forward logistics plans.⁸ This capability allows the company to predict inbound material flows, fortify in-week manufacturing execution, and dynamically adjust to potential shipping bottlenecks before they can cause costly line stoppages on the factory floor.⁸

Additionally, the company utilizes aThingz's SLOPE (Sales, Logistics, Optimized Planning & Execution) solution to achieve dynamic "cost-to-serve" calculations.¹⁰ This AI-powered capability provides real-time tracking and optimization of logistics costs against strict budget targets.¹⁰ By centralizing the management of network, partner, and operational performance down to the specific part-piece level, the company is able to instantly explain financial variances and accurately predict future logistics spend.⁸ This deployment effectively consolidates the company's master data management, spend management, and network optimization initiatives into a single, continuous, highly automated process.⁸

Capability 3: Smart Manufacturing, Edge Robotics, and Shop Floor ERP

The physical production of automotive components—ranging from forging heavy metal axles to assembling highly calibrated electric drive units—is historically vulnerable to unplanned machine downtime, operator error, and quality defects. Dauch Corporation has aggressively pursued "Industry 4.0" transformations, utilizing edge computing, Industrial Internet of Things (IIoT) sensors, advanced computer vision, and cloud ERP systems to digitize the factory floor.

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The internal hiring data highlights "Manufacturing Operations Optimization" as a distinct target for AI deployment, representing 20% of the company's AI-core roles.¹ The company is actively investing in statistical methods, natural language processing (NLP), and specific machine learning algorithms like XGBoost and time series analysis to apply directly to the manufacturing floor.¹ The stated objective of these hires is to improve product quality, decrease operational costs, and drastically reduce manufacturing scrap rates.¹ The seniority level for these roles is focused entirely on mid-level practitioners (0.1% of the manufacturing area's total postings).¹

Public-Source Evidence

Public evidence details a sophisticated, multi-pronged approach to manufacturing digitization. For enterprise resource planning directly on the shop floor, the company's metal forming division transitioned to the Plex Smart Manufacturing Platform, a comprehensive cloud-based ERP.⁸ Prior to this transition, the division's seven facilities operated on highly fragmented, legacy systems or lacked a formalized ERP entirely, making capacity planning and quality tracking incredibly difficult.¹¹ Partnering with the consulting firm Baker Tilly, Dauch Corporation successfully deployed Plex Cloud ERP to consolidate operational data, providing a single source of truth for inventory controls, quality management, and financial performance.¹¹ Crucially, this cloud ERP integrates in parallel with the corporate Oracle ERP system, ensuring that shop-floor realities—such as the procure-to-pay, hire-to-retire, and order-to-cash lifecycles—are accurately and instantly reflected in enterprise financial reporting without causing production downtime during the implementation.¹¹

To optimize machine throughput and minimize unplanned downtime, the company utilizes

BEET's ENVISION platform, a specialized Process Visibility System (PVS).¹⁴ This system performs continuous, real-time analysis of big data generated by factory machines, programmable logic controllers (PLCs), and robots, digitizing the manufacturing process down to individual device motions.¹⁴ By establishing the precise root causes of line slowdowns—identifying instantaneously whether a bottleneck is caused by a human operator, a machine calibration issue, or a robotic fault—ENVISION allows the company to push beyond reactive maintenance toward highly predictive equipment management.¹⁴

In the realm of quality control and physical automation, Dauch Corporation recognized Apera AI with an Innovation Award for its 4D Vision system.¹⁵ Apera AI provides advanced robotic vision software (specifically the Apera Vue and Apera Forge platforms) that utilizes artificial intelligence to understand depth and motion over time, rather than relying on static images.¹⁵ This technology effectively gives factory robots human-like vision, allowing them to operate significantly faster and with greater reliability than traditional 3D vision systems.¹⁵ Deploying 4D vision enables Dauch Corporation to automate complex part-handling, improve precision in assembly, and achieve stringent quality control metrics on the production line, dramatically increasing factory uptime.¹⁵

Capability 4: Enterprise Cloud Infrastructure and Data Observability

To successfully support AI-driven engineering, autonomous logistics, and smart manufacturing, Dauch Corporation required a fundamental modernization of its underlying IT infrastructure. Legacy on-premises servers and siloed databases lack the scalability, speed, and reliability necessary to handle the massive data ingestion rates required for advanced analytics. Consequently, the company has undertaken a massive cloud migration and data observability initiative.

Uploaded-Document Evidence

The hiring analysis indicates that the "IT and Data" business area accounts for the vast majority (80%) of the company's core AI hiring signals.¹ The technical requirements for these roles center heavily on modern cloud and data architecture, with specific, repeated demands for expertise in AWS, Azure, Snowflake, and Python.¹ The investment objective in this capability pocket is to establish "Predictive Analytics and Business Intelligence" utilizing machine learning algorithms and neural networks to streamline business processes across the enterprise.¹

Public-Source Evidence

Public records reveal the intricate operational mechanics of this cloud infrastructure modernization. A primary, highly impactful initiative has been the decommissioning of localized Windows file servers across remote manufacturing sites and corporate offices globally.¹⁷ Dauch Corporation replaced these vulnerable legacy systems with Nasuni filers, which automatically replicate enterprise data directly to Amazon Web Services (AWS) cloud storage.¹⁷ This massive cloud migration significantly reduces hardware maintenance costs, slashes software licensing fees, and lowers local IT support requirements, perfectly aligning with the corporate goal of

focusing resources on core manufacturing activities rather than IT server maintenance.¹⁷

To maintain strict visibility and performance monitoring over this highly distributed cloud architecture, the company deployed InfluxDB, a specialized, high-performance time-series database, paired with Grafana for data visualization and Telegraf for metric collection.¹⁷ This "observability stack" solves multiple critical operational problems simultaneously. First, it monitors the precise performance of the 78 global Nasuni filers, ensuring that engineering and corporate data is syncing to AWS correctly.¹⁷ Second, it meticulously tracks VEEAM backup processes, utilizing automated alerts that trigger instantly if a system backup fails more than three times within a 24-hour window, thus preventing catastrophic data loss.¹⁷ Third, the stack monitors the health of the company's core Oracle databases, alerting administrators to any performance slowdowns before they impact the business.¹⁷

Perhaps most critically for the engineering divisions, InfluxDB ingests massive volumes of synthetic-aperture radar (SAR) data generated directly by the company's High-Performance Computing (HPC) servers.¹⁷ Because InfluxDB is highly efficient regarding storage space and data compression, the company can archive performance data based on its actual usefulness, generally keeping only one year of telemetry data active to prevent massive cloud storage capacity overruns.¹⁷

Capability 5: Human Capital Analytics and Internal Business Intelligence

Beyond the highly technical engineering and factory domains, corporate functions require deep, predictive analytics to forecast market trends, manage human capital, and optimize broader organizational strategies.

Uploaded-Document Evidence

The hiring dataset categorizes 20% of the company's AI roles directly under "BI Analytics".¹ The company's investment strategy explicitly notes the use of predictive modeling utilizing Support Vector Machines (SVM), Decision Forests, and Time Series Analysis.¹ Deployed via modern data warehouses like Snowflake and hosted on AWS and Azure, these predictive systems are tasked with delivering actionable insights, streamlining reporting, and providing recommended solutions to corporate leadership.¹

Public-Source Evidence

Publicly, the application of enterprise analytics extends deeply into human resources and employee engagement. Dauch Corporation deployed Medallia, a sophisticated experience management platform, to monitor and analyze associate sentiment globally.¹⁸ Medallia captures experience signals across the entire employee lifecycle—monitoring daily journeys, digital interactions, and workplace feedback—and utilizes proprietary AI technology to reveal personalized, predictive insights.¹⁸ This technology allows the HR operations team to proactively identify areas of friction in the workplace, reduce employee churn, and cultivate a

highly engaged workforce. Retaining specialized technical and manufacturing talent is absolutely critical for executing the company's ongoing, multi-year digital transformation.¹⁸

SECTION 3 — GenAI, RAG, and Agentic Systems: Actual Scope and Evidence

Generative Artificial Intelligence (GenAI), Retrieval-Augmented Generation (RAG), and agentic AI systems represent the absolute frontier of enterprise automation. However, meticulously separating pilot experimentation from scaled production is critical when evaluating a manufacturing company's actual maturity in these bleeding-edge domains. For Dauch Corporation, the evidence points definitively to early-stage adoption facilitated almost entirely by third-party platforms and consulting partners, rather than bespoke internal model development.

Uploaded-Document Evidence

The internal hiring data confirms that GenAI is on the company's strategic radar, though the internal resource allocation dedicated to it remains minuscule. The geographical and trend data track specific advanced role families, including "LLM/GenAI apps" and "Agentic AI".¹ However, the data reveals that for the years 2024, 2025, and 2026, the dominant AI role family overwhelmingly remains traditional "AI/ML modeling" (comprising 100% of the limited score-2 roles in those years).¹ The share of roles dedicated specifically to developing Agentic AI systems sits at exactly 0.0%.¹

The investment signal report does mention "LLMOps platforms" and "Natural Language Processing (NLP)" as areas of interest.¹ Specifically, NLP is cited alongside XGBoost and time series analysis as a tool being applied to manufacturing operations to improve quality and reduce costs.¹ This suggests that the company is likely experimenting with text-based data extraction—such as parsing unstructured maintenance logs, safety reports, or machine error codes—to feed predictive maintenance models on the factory floor, rather than building generative chatbots.

Public-Source Evidence

Public evidence strongly corroborates the thesis that Dauch Corporation relies entirely on vendors and external engineering partners for GenAI capabilities. No direct public evidence found for custom RAG pipelines, proprietary large language models, or internally developed consumer-facing generative systems built by Dauch Corporation.

Instead, the company benefits from GenAI through its highly integrated service providers. For instance, SSOE Group, which provides global program management and engineering services to Dauch Corporation, extensively utilizes Microsoft Copilot Edge and the broader M365 ecosystem.¹⁹ SSOE employs these generative tools for document summarization, language translation, complex data analysis, and architectural idea generation.¹⁹ Furthermore, SSOE

developers utilize GitHub Copilot to expedite coding tasks, generating and refining scripts via natural language prompts.¹⁹ Within complex architectural and engineering workflows, SSOE integrates chat LLM engines directly into platforms like Revit, automating the modeling of structural elements, managing dimensions, and organizing blueprints through conversational commands without requiring manual scripting.¹⁹

Through this proxy relationship, Dauch Corporation successfully realizes the massive efficiency gains of GenAI—such as faster facility design, streamlined project management, and reduced engineering overhead—without bearing the immense capital expense, compute costs, or technical debt of developing, training, and hosting foundational large language models internally.

SECTION 4 — Talent, Teams, and Operating Model

The digital transformation of a legacy heavy-manufacturing enterprise requires a highly specialized operating model. Dauch Corporation's approach to talent acquisition and organizational structure reveals a highly pragmatic strategy: maintain a lean, U.S.-centric internal data governance team while heavily outsourcing execution, software development, and infrastructure management to specialized SaaS vendors and consulting partners.

Uploaded-Document Evidence

The uploaded hiring analysis paints a stark, quantitative picture of the company's internal AI talent acquisition strategy. Out of 2,629 total job postings analyzed across the enterprise, only 5 postings were classified as core AI roles (Score-2), and 9 were classified as AI-literate (Score-1).¹ The intensity of AI hiring peaked at a mere 1.0% of total postings in 2022, subsequently dropping to 0.1% in 2024 and 2025, with a slight projected rebound to 0.3% in 2026.¹

Geographically, the core AI talent pool is highly concentrated. While the company hires thousands of workers across Mexico, Germany, and Brazil to support its massive physical manufacturing footprint, 100% of the core AI roles identified in the dataset are located in the United States.¹ The overall AI hiring intensity in the United States sits at just 0.3% of the country's total job postings.¹

Functionally, this scarce AI talent is housed primarily within the "IT and Data" business area, which accounts for 80% of the AI roles.¹ The seniority split within this specific domain skews heavily toward mid-level professionals (5.5% of the IT area's hiring) versus senior professionals (1.8%).¹ This internal team is tasked with enterprise AI governance, defining the corporate AI roadmap, and managing MLOps/LLMOps infrastructure.¹ The concentration of mid-level IT talent suggests an operating model focused on data engineering, vendor management, and pipeline maintenance (e.g., managing Snowflake, AWS, Azure environments) rather than funding a heavy, senior-dominated R&D lab for fundamental, academic AI research.¹

Public-Source Evidence

Public records validate this lean internal structure by highlighting the company's extensive and deliberate reliance on external partnerships. The company's digital execution is overwhelmingly vendor-orchestrated.

- **Engineering:** Rather than building internal generative design algorithms, the company licenses Neural Concept's 3D deep learning platform.⁵ Rather than maintaining internal server farms for fluid dynamics, it relies entirely on Rescale's cloud HPC and Ansys's simulation software.⁶
- **Logistics:** The company handed its supply chain analytics, master data management, and cost-to-serve calculations over to aThingz via a Supply Chain as a Service (SCaaS) model.⁸
- **Manufacturing IT:** The massive migration to Plex Cloud ERP for the metal forming division was not an internal IT triumph alone; it was executed through a strategic consulting partnership with Baker Tilly to ensure zero downtime.¹¹
- **Robotics:** Factory floor machine vision is augmented by purchasing Apera AI's 4D software rather than building proprietary computer vision models.¹⁵

This operating model—a thin internal governance layer managing a thick ecosystem of best-of-breed SaaS and AI providers—allows Dauch Corporation to achieve rapid technological parity with agile competitors while strictly controlling payroll, pension obligations, and internal software development costs.

SECTION 5 — What the Evidence Implies for the Company's Investment Priorities

An exhaustive review of Dauch Corporation's financial disclosures, hiring patterns, and technology deployments yields several critical implications regarding its strategic investment priorities and its competitive posture in the global Tier 1 automotive supply market.

1. Capital Expenditure Shift: From Iron to Silicon Historically, competitive advantage in automotive manufacturing was dictated by massive capital investments in physical assets—forges, stamping presses, and assembly lines. While physical capex remains high (\$256.5 million in 2025)¹, the definition of "infrastructure" at Dauch Corporation has fundamentally expanded. The transition to the cloud (AWS, Nasuni, Rescale) indicates a strategic shift from capital expenditures (capex) in on-premises hardware toward operational expenditures (opex) via SaaS and Cloud consumption models.⁶ By decommissioning localized Windows servers and legacy 64-core compute clusters, the company frees up capital to invest directly in product innovation rather than IT depreciation.⁶ For competitors, this signals that Dauch Corporation possesses the agility to scale computational resources infinitely and on-demand, reducing the time-to-market for new engineering designs without requiring massive upfront hardware purchases.

2. Time-to-Market as the Primary ROI Metric for AI The automotive industry is in the midst of a highly volatile transition from internal combustion engines to electrification. The winning suppliers will be those who can iterate electric drive units (EDUs) rapidly to meet shifting, unpredictable OEM demands. Dauch Corporation's investments in AI are heavily indexed toward accelerating this engineering cycle. The deployment of Neural Concept's AI-driven 3D design platform and Ansys ConceptEV simulation software allows the company to test thousands of mechanical, thermal, and electromagnetic geometries digitally.⁵ By minimizing physical prototyping and manual CAD adjustments, the company drastically shortens the R&D loop.⁵ Competitors relying on traditional, manual iterative engineering will find themselves severely outpaced by Dauch's ability to optimize products for both physical performance and bill-of-materials cost simultaneously.

3. Supply Chain Resilience as a Competitive Moat The COVID-19 pandemic and subsequent semiconductor shortages exposed the extreme fragility of global automotive supply chains. Dauch Corporation's investment in the aThingz DAKSA AI platform demonstrates a high prioritization of supply chain resilience.⁸ By achieving a "golden master data set" and moving from reactive tracking to *n*-week forward logistics planning, the company actively mitigates the risk of catastrophic line stoppages due to part shortages.⁸ Furthermore, the dynamic cost-to-serve analytics provided by the SLOPE solution allow the company to protect its profit margins in real-time against fluctuating global freight and logistics costs.¹⁰ This predictive visibility serves as a significant competitive moat against suppliers who still attempt to manage complex logistics via fragmented spreadsheets and siloed legacy ERPs.

4. The "Smart Integrator" Advantage Dauch Corporation is not attempting to become a software company. Its hiring data—showing negligible growth in internal AI headcount and zero focus on proprietary LLM development—confirms that the company avoids the trap of building bespoke technology where superior commercial solutions already exist.¹ The company's strategy is strictly to be a "smart integrator." It buys market-leading solutions (Plex for ERP, Apera AI for robotic vision, BEET Envision for IoT machine monitoring) and focuses its internal IT talent on data plumbing (Snowflake, AWS) to ensure these disparate systems communicate effectively.¹ This highly pragmatic approach severely limits technical debt and accelerates time-to-value, allowing the company to focus its core competencies on metal forming and driveline engineering.

5. Post-Acquisition Digital Unification The \$1.7 billion acquisition of Dowlais Group plc introduces massive operational complexity.¹ With operations now spanning 24 countries and over 175 locations, the integration of legacy IT systems is the company's most pressing immediate challenge.¹ The projected \$100 million to \$125 million in 2026 integration costs highlights the immense scale of this task.¹ However, the pre-existing cloud infrastructure—such as the globally replicated Nasuni/AWS architecture and the multi-facility Plex Cloud ERP blueprint established with Baker Tilly—provides a tested, scalable framework for absorbing the Dowlais assets.¹¹ The company's prior investments in data standardization (via aThingz and Snowflake) will be absolutely critical in consolidating the supply chains, factory networks, and

financial reporting of the newly unified Dauch Corporation.¹

In conclusion, Dauch Corporation's investments in AI, data, and software are highly targeted, strictly governed, and intensely operationally focused. By leveraging a robust ecosystem of cloud platforms, specialized consultants, and AI software vendors, the company is systematically digitizing its product engineering workflows, manufacturing floors, and global logistics networks to maintain strict cost competitiveness and aggressively accelerate its position in the electrified mobility market.

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